

taking over as finance secretary and revenue secretary.

As DIPAM secretary from October 2019 to January 2025, Pandey led a few significant initiatives like the mega listing of public sector insurer Life Insurance Corporation of India, privatisation of Air India and Neelachal Ispat Nigam Ltd. and overseeing the ongoing disinvestment of IDBI Bank. He was also instrumental in fine-tuning the government's disinvestment strategy—a shift from viewing public sector units as cash cows to making them a force to reckon with.

More recently, as revenue secretary, he was part of the team that brought in the ₹1 lakh crore tax cut for the middle class in this year's Union Budget.

So, expectations are high. While turbulent market conditions, with over ₹1 lakh crore of outflows by foreign institutional investors in the first two months of 2025, are seen as stemming from the volatile global economic environment, there is a long-to-do list for Pandey. He needs to find the right balance between regulation and deregulation, boost employee morale, and restore the image of the market regulator following allegations targetting the earlier chairperson.

J.N. Gupta, former executive director of Sebi and founder and Managing Director of proxy advisory firm Stakeholders Empowerment Services, says Pandey must first decide the pace of change. "We have seen over the last three years that the pace of changes by Sebi has been too fast. Now Pandey will have to decide whether he should continue at the same pace or slow down, depending upon what he thinks is the appetite for change in the market," he says. Pandey will have to grapple with policymaking in the current bear market, which was not the case under Buch.

There are five priority areas for Pandey to address, says Sandeep Parekh, Managing Partner at Finsec Law Advisors. "Sebi needs massive

deregulation and ease of doing business. This must be done by introducing new laws that are concise and precise," he says. Second, there must be more thoughtful enforcement. Sebi does not need to issue a show-cause notice for every minor infraction and should only prosecute serious offences like fraud and insider trading, says Parekh.

Third, Sebi should remove all deeming provisions in law. "Calling someone a 'deemed insider' is a lazy way of regulating," Parekh notes. The fourth area he highlights is

from the ranks of the IAS.

Former bureaucrats and experts maintain that this is not a sign of preference for a particular service. A decision is taken through a thorough selection process.

M.S. Sahoo, Distinguished Professor at National Law University, Delhi, and former Chairperson of the Insolvency and Bankruptcy Board of India, points out that a regulator is a unique institution wielding quasi-legislative, executive, and quasi-judicial powers. "Among regulators, Sebi stands apart due to

TASKS AHEAD

1 Tuhin Kanta Pandey must restore the image of the market regulator after recent controversies

2 Pandey also needs to quickly improve employee morale and address the contentious issues that were aired earlier

3 Market participants have called for thoughtful enforcement, saying Sebi should prosecute only serious offences

4 They have also called for concise regulation of wealth managers, investment advisors and research analysts

regulation of wealth management, investment advisory, research and product distribution which, he says, is an incoherent mix of laws.

Fifth, alternative investment funds (AIFs) have been over-regulated in recent years, and they should broadly be left to the law of contract, as they were before, says Parekh. Pandey's appointment has signalled the government's seeming preference to select bureaucrats for key regulatory posts. After all, just two months earlier, Pandey's colleague in the North Block, former Revenue Secretary Sanjay Malhotra, was appointed the Reserve Bank of India Governor.

Apart from Buch, Sebi has had three other chiefs who were not from the Indian Administrative Service (IAS). All others were also

the complexity of its mandate and the challenges it faces. Leading Sebi demands a rare blend of skills—the ability to run a government department, the acumen to manage a business enterprise, and much more. Few individuals possess this combination," he says. Sahoo says appointing a bureaucrat is not an unusual practice. "The government's preference for experienced bureaucrats in these positions likely stems from the need for individuals with deep institutional knowledge, policy expertise, and experience in navigating complex regulatory landscapes," says Sahoo.

For now, Pandey's unwavering style of working is expected to bring some stability at Sebi. **BT**

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